

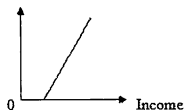
3.3 CLASSIFICATION AND EFFECTS OF TAXES

Multiple Choice Questions

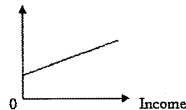
1990/CE/II/47

Which of the following diagrams approximates the structure of salaries tax in Hong Kong?

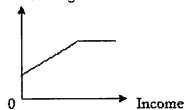
A. Average Tax Rate



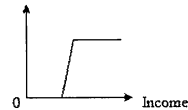
B. Average Tax Rate



C. Average Tax Rate



D. Average Tax Rate



1990/CE/II/55

Mei Ling's income has increased from \$50 000 to \$60 000 this year. The income tax is progressive if it increases from

- A. \$1 000 to \$1 200
- B. \$2 000 to \$2 500
- C. \$3 000 to \$3 600
- D. \$4 000 to \$4 700

1991/CE/II/37

A sales tax on food is regarded as _____ tax.

- A. a direct and regressive
- B. an indirect and regressive
- C. a direct and proportional
- D. an indirect and progressive

1992/CE/II/36

Suppose the government asks everybody to pay a tax of \$100 a year. This is an example of

- A. regressive tax.
- B. proportional tax.
- C. income tax.
- D. indirect tax.

1993/CE/II/45

Which of the following is a correct description of direct tax?

- A. Direct tax is regressive.
- B. The cost of collecting direct tax is greater than that of indirect tax.
- C. The revenue from direct tax will drop if there is a recession.
- D. Raising direct tax rates will lead to inflation.

1994/CE/II/47

If the amount of tax increases as income increases, the tax may be considered a _____ tax.

- (1) progressive
- (2) proportional
- (3) regressive

- A. (1) only
- B. (1) or (2)
- C. (2) or (3)
- D. (1) or (2) or (3)

1995/CE/II/45

Direct taxes differ from indirect taxes in that

- A. direct taxes are collected directly from the taxpayers but indirect taxes are not.
- B. direct taxes are progressive whereas indirect taxes are regressive.
- C. the tax burden of direct taxes cannot be shifted but that of indirect taxes can.
- D. the direct tax revenue fluctuates with national income but the indirect tax revenue does not.

1995/CE/II/46

Study the following information carefully:

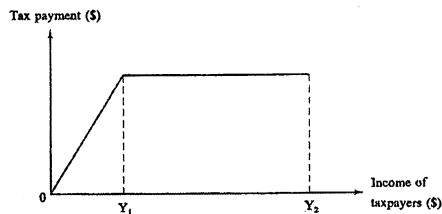
Taxable income(\$)	Total tax payment (\$)
10 000	1 000
20 000	3 000
30 000	x

If the tax is progressive, x must be larger than

- A. 3 000.
- B. 3 500.
- C. 4 000.
- D. 4 500.

1995/CE/II/48

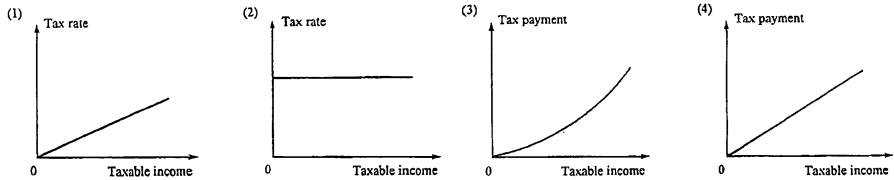
The following diagram shows the tax structure of Tax X:



Tax X is _____ within the income range OY₁, and _____ within the income range Y₁Y₂.

- A. proportional progressive
- B. proportional regressive
- C. progressive proportional
- D. progressive regressive

1996/CE/II/41



Which two of the following diagrams describe a progressive tax?

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1996/CE/II/44

Suppose that inflation occurs and that money income increases at the same rate as inflation. A taxpayer under a proportional tax system will pay

- (1) a larger amount of tax.
 - (2) the same amount of tax.
 - (3) more tax in terms of purchasing power.
 - (4) the same amount of tax in terms of purchasing power.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

1997/CE/II/40

The below tax is a

Taxable income (\$)	Tax payment (\$)
10 000	4 000
20 000	7 000
30 000	9 000
40 000	10 000

- A. progressive tax.
- B. proportional tax.
- C. regressive tax.
- D. lump-sum tax.

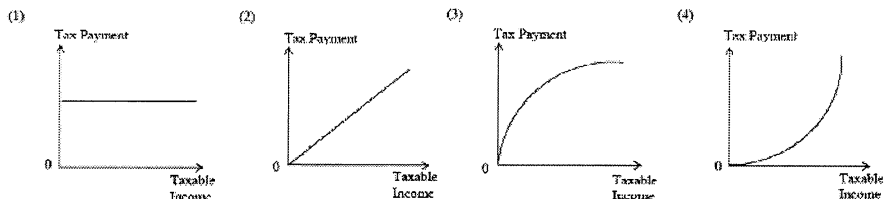
1998/CE/II/39

Which of the following statements about tax is correct?

- A. Progressive tax has higher tax rate than regressive tax.
- B. Progressive tax is tax on income while regressive tax is a tax on goods.
- C. The tax payment of a regressive tax decrease as the taxable income increases.
- D. The percentage of income as tax of a progressive tax increases when taxable income increases.

2000/CE/II/41

Which two of the following diagrams illustrate a regressive tax measured in terms of an average tax rate?



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2000/CE/II/43

Taxable income (\$)	Tax payment (\$)
200 000	22 000
250 000	25 000
300 000	27 000

From the above information, we can conclude that

- A. The tax is a progressive tax as the tax payment increases with taxable income.
- B. The tax payment takes a decreasing portion of taxable income as taxable income increases.
- C. The taxation system helps to reduce the income gap.
- D. The taxation system reduces the work incentive.

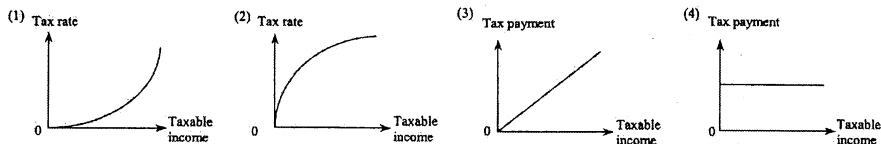
2002/CE/II/43

Tobacco duty in Hong Kong is a kind of

- A. direct and proportional tax.
- B. direct and regressive tax.
- C. indirect and proportional tax.
- D. indirect and regressive tax.

2003/CE/II/38

Which of the following taxes are progressive?



- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

2004/CE/II/41

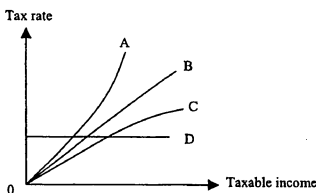
Taxable income (\$)	Tax payment (\$)		
	Tax A	Tax B	Tax C
10 000	500	800	1 000
20 000	1 000	1 700	1 000
30 000	1 500	2 700	1 000

According to the above table, which of the following statements is correct ?

- A. None of the above taxes is a regressive tax.
- B. The taxation principle of equity put forth by Adam Smith applies to all the above taxes.
- C. Tax A is the most effective in achieving a more even income distribution.
- D. Tax B is a progressive tax.

2004/CE/II/42

Which of the following lines A, B, C or D shows the relationship between the tax rate and the taxable income under the profits tax system in Hong Kong?



- A. line A
- B. line B
- C. line C
- D. line D

2005/CE/II/39

Study the following data:

Taxable income (\$)	Tax amount (\$)
0	0
10 000	1 500
20 000	x

If the above tax is progressive, the value of x must be

- A. smaller than 3 000.
- B. equal to 3 000.
- C. greater than 3 000.
- D. There is not sufficient information to do the calculation.

2005/CE/II/40

Which of the following is/are the difference(s) between a direct tax and an indirect tax?

- A. The tax burden of a direct tax cannot be shifted onto other people, but the tax burden of an indirect tax can.
- B. A direct tax results in a more even income distribution, but an indirect tax results in a less even income distribution.
- C. The tax base of direct taxes is narrower, but the tax base of indirect taxes is broader.
- D. All of the above are correct.

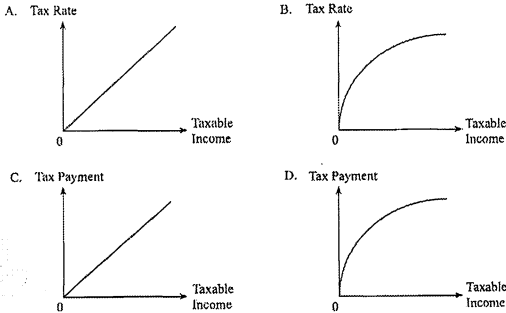
2007/CE/II/40

Which of the following taxes in Hong Kong is both 'direct' and 'progressive'?

- A. stamp duty
- B. profits tax
- C. property tax
- D. salaries tax

2008/CE/II/43

Which of the following diagrams describes a regressive tax?



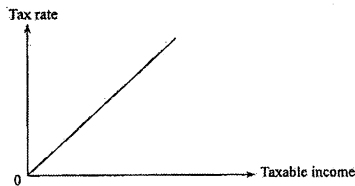
2009/CE/II/42

An economy levies a 5% general sales tax on all goods and services. This tax is a/an

- A. proportional tax as everyone will pay 5% of their expenditure on goods and services as tax.
- B. progressive tax as the tax payment increases with the price of the goods and services.
- C. regressive tax as the proportion of tax payment to income decreases when income increases.
- D. indirect tax as consumers indirectly bear all the tax burden.

2009/CE/II/43

Refer to the following relationship between the tax rate and the taxable income of a certain tax.



Which of the following statements is correct?

- A. The taxation principle of equity put forth by Adam Smith applies to this tax.
- B. The tax rate remains constant when the taxable income increases.
- C. The imposition of this tax would lead to an increase in the ratio of indirect tax revenue to direct tax revenue.
- D. When the taxable income increases, the percentage increase of the tax payment is greater than the percentage increase of the taxable income.

Taxable income (\$)	Tax Payment (\$)	
	Tax System A	Tax System B
100 000	4 000	5 000
200 000	4 000	10 000
300 000	4 000	15 000

Refer to the above data. Tax system A is _____ while tax system B is _____.

- A. proportional progressive
- B. progressive proportional
- C. regressive proportional
- D. regressive progressive

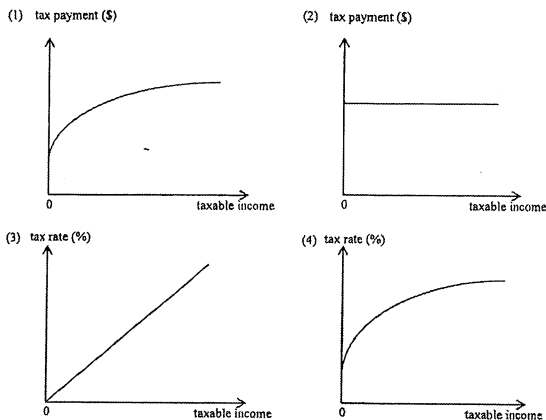
2014/DSE/II/36

The government plans to impose a new tax under which the tax payment drops when taxable income drops. Which of the following statements about the new tax is correct?

- A. The tax is regressive as the tax rate increases when the taxable income drops.
- B. The tax is proportional as the taxable income and the tax payment are positively related.
- C. The tax cannot be progressive as the tax rate increases when the tax payment drops.
- D. The tax can be progressive, proportional or regressive.

2017/DSE/II/35

Which of the following diagrams describe a regressive tax?



- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

1990/CE/II/59

Which of the following is **INCORRECT** if a general sales tax is imposed in Hong Kong?

- A. The fluctuations of government tax revenue will be reduced
- B. The proportion of direct tax in the government tax revenue will increase
- C. There will be a redistribution of income
- D. The general price level will increase

1991/CE/II/37

A sales tax on food is regarded as _____ tax.

- A. a direct and regressive
- B. an indirect and regressive
- C. a direct and proportional
- D. an indirect and progressive

1991/CE/II/39

Income (\$)	Tax Amount (\$)	
	Policy A	Policy B
10 000	1 000	1 000
50 000	5 000	4 000
100 000	10 000	7 000
500 000	50 000	30 000

Which of the following is likely to take place if the government changes from Policy A to Policy B?

- A. less incentive to work
- B. more uneven income distribution
- C. a lower rate of economic growth
- D. a fall in the consumption expenditure

1992/CE/II/43

In the financial year 1990-91, the government increased the tax allowance by about 5%. The inflation rate at the same period was about 10%. Which one of the following was a consequence of the above situation?

- A. The government had to introduce a sales tax.
- B. More people fell into the tax net.
- C. The real income of Hong Kong people increased.
- D. The government collected more indirect tax revenue.

1993/CE/II/46

Taxpayers with the same net chargeable income paid different amounts of tax in the two fiscal years 1990/91 and 1991/92. Several examples are shown below to illustrate this:

Total net chargeable income (\$)	Total tax payment (\$) for the fiscal year of	
	<u>1990/91</u>	<u>1991/92</u>
10 000	200	200
20 000	600	400
30 000	1 500	1 300
40 000	2 700	2 200
50 000	4 200	3 900
60 000	6 000	5 600
70 000	8 100	8 100
80 000	10 600	10 600

How does the change in the total tax payment affect the income distribution in Hong Kong?

- A. It gives a more even income distribution.
- B. It gives a more uneven income distribution.
- C. It has no effect on income distribution.
- D. The effect on income distribution is uncertain.

1993/CE/II/47

If the government increases the personal allowance on the salaries tax, then

- A. the taxpayers paying at the standard tax rate will have a higher work incentive.
- B. we are not certain how the total tax revenue will change.
- C. the government will have to cut its expenditure.
- D. the tax base will be widened.

1993/CE/II/48

Which of the following government measures will increase the inequality of wealth distribution in Hong Kong?

- A. removing the tax on soft drinks
- B. selling more flats under the Home Ownership Scheme at lower prices
- C. increasing fees for medical service in government hospitals
- D. increasing the personal allowance on the salaries tax

1994/CE/II/48

The aim of the Hong Kong government in increasing the proportion of indirect taxes to total taxation is to

- A. increase the total tax revenue.
- B. stabilize the tax revenue in different phases of a business cycle.
- C. narrow the gap between the rich and the poor.
- D. narrow the tax base.

1996/CE/II/43

Which of the following will lead to a more uneven income distribution?

- A. decreasing the sales tax rate
- B. imposing more indirect taxes on luxuries
- C. increasing the housing allowance of senior civil servants
- D. increasing the standard tax rate of the salaries tax

1996/CE/II/45

Which of the following statements is true about progressive tax in Hong Kong?

- A. It will lead to a more uneven distribution of income.
- B. It is a tax levied on good and services.
- C. The tax burden can be shifted.
- D. It may discourage working incentive.

1997/CE/II/45

Suppose the Hong Kong government increases the salaries tax allowance by 5% while both the wage rates and the inflation rate of the economy in the year increase by 10%. It follows that

- A. more people would fall into the tax net.
- B. the ratio of tax payment to income would decrease.
- C. the tax revenue would increase and the income distribution would be more even.
- D. the real income of the people after tax would remain unchanged.

1998/CE/II/37

A progressive tax is more effective than a proportional tax in achieving the following aim:

- A. to increase government revenue
- B. to lower the administrative costs of the government
- C. to achieve a more equitable income distribution
- D. to reallocate the resources of the economy

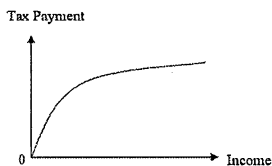
1998/CE/II/42

If the government of Hong Kong raises the tax allowance on the salaries tax,

- A. the income distribution will be more uneven.
- B. less people will fall into the tax net.
- C. the working incentive of those paying at the standard tax rate will increase.
- D. the tax bands will be widened.

1999/CE/II/40

The following diagram shows a tax system:



Which of the following statements concerning the above tax is correct?

- A. It is a progressive tax as the tax payment increases when income increases.
- B. It would lead to an uneven distribution of income.
- C. It would encourage the working incentive of workers.
- D. The progressivity of the tax rate will increase when income rises.

1999/CE/II/42

During a recession, the refund of rates by the government to the people would

- A. lead to a more efficient allocation of resources.
- B. decrease the foreign exchange and gold reserves of Hong Kong.
- C. increase the incentive to invest.
- D. increase the consumption expenditure of the lower income group.

1999/CE/II/43

Which of the following government policies would lead to more even distribution of income?

- A. lowering the tax rates of regressive taxes
- B. imposing more indirect taxes on necessities
- C. increasing the depreciation allowance of the profits tax.
- D. reducing the standard tax rate of the salaries tax

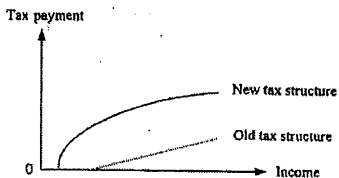
1999/CE/II/44

If the income of Hong Kong people falls by 5% in a fiscal year,

- A. more people will fall into the tax net.
- B. the tax bands of the salaries tax will be narrowed.
- C. the government revenue from the salaries tax will fall by more than 5%.
- D. the wealth distribution of people in Hong Kong will remain unchanged.

2001/CE/II/35

The following graph shows the relationship between tax payment and income before and after a change in the structure of a tax.



Compared to the old tax structure, the new tax structure

- A. results in a less even income distribution.
- B. has a lower tax rate for the same level of income.
- C. has a larger tax allowance.
- D. has no effect on working incentive.

2001/CE/II/36

Taxable Income (\$)	Tax Payment Under Tax A (\$)	Tax Payment Under Tax B (\$)
10 000	1 500	2 000
20 000	3 800	3 800
30 000	6 600	5 400

From the above data, we can conclude that

- A. Tax A is a direct tax and Tax B is an indirect tax.
- B. there would be a more even income distribution under Tax A.
- C. the tax rate of Tax A is lower than that of Tax B for all levels of income.
- D. the fluctuations of government tax revenue would be smaller under Tax A than under Tax B when income fluctuates.

2001/CE/II/39

Which of the following will widen the tax base of Hong Kong?

- A. an increase in the tax allowance
- B. a decrease in the standard tax rate
- C. an increase in the profits tax rate
- D. the introduction of a sales tax

2002/CE/II/40

If a general sales tax is introduced in Hong Kong,

- A. the tax base would be widened.
- B. the wealth gap would be reduced.
- C. less Hong Kong people would shop in Shenzhen.
- D. the proportion of direct tax in the government tax revenue would increase.

2002/CE/II/42

Suppose the government of an economy cuts the salaries tax allowance by 10% while both the wage rates and the general price level in the year fall by 5%. It follows that

- A. the tax revenue would increase.
- B. more people would fall into the tax net.
- C. the real income of people before tax would generally increase.
- D. the ratio of people's tax payment to their nominal income would generally decrease.

2003/CE/II/39

Suppose the salaries tax allowance in Hong Kong decreases and the salaries of taxpayers remain constant. It results that

- A. some taxpayers paying at the standard tax rate may pay at a lower tax rate.
- B. the middle-income group would have to pay a larger proportion of their income as tax.
- C. less people would fall into the tax net.
- D. the after-tax income of all taxpayers would decrease.

2003/CE/II/40

If the government raises the profits tax rate,

- A. the government revenue will increase.
- B. the unemployment rate will fall.
- C. the incentive for investment will decrease.
- D. the general price level will rise.

2003/CE/II/41

The following table describes a tax:

Taxable Income (\$)	Tax Payment (\$)
10 000	2 000
20 000	3 800
30 000	5 400
40 000	6 800
50 000	8 000

The above tax would

- A. lead to a less even distribution of income.
- B. reduce the working incentive of workers.
- C. improve the resource allocation of the economy.
- D. increase the consumption expenditure of the lower income group.

2004/CE/II/41

Taxable income (\$)	Tax payment (\$)		
	Tax A	Tax B	Tax C
10 000	500	800	1 000
20 000	1 000	1 700	1 000
30 000	1 500	2 700	1 000

According to the above table, which of the following statements is correct ?

- A. None of the above taxes is a regressive tax.
- B. The taxation principle of equity put forth by Adam Smith applies to all the above taxes.
- C. Tax A is the most effective in achieving a more even income distribution.
- D. Tax B is a progressive tax.

2004/CE/II/43

Suppose there is a change in an income tax as follows:

Marginal Tax Band	Marginal Tax Rate (%)	
	Old System	New System
First \$30 000 taxable income	2.0	2.0
Next \$30 000	7.5	8.0
Next \$30 000	13.0	14.0
Remainder	18.5	20.0

Under the new system,

- A. the ratio of direct tax revenue to indirect tax revenue will decrease.
- B. the government will have a budget surplus.
- C. more people will fall into the tax net.
- D. the income gap will be reduced.

2005/CE/II/41

Which of the following government policies would lead to a less even income distribution of Hong Kong citizens?

- A. raising the standard tax rate of the salaries tax
- B. reducing the personal allowance of the salaries tax
- C. raising the profits tax rate
- D. lowering the excise tax rate of tobacco and wine

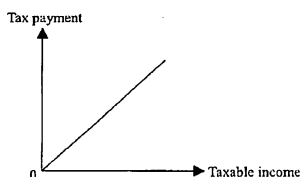
2005/CE/II/42

The introduction of a general sales tax would lead to

- A. inflation.
- B. lower output.
- C. higher consumption expenditure.
- D. higher GDP.

2005/CE/II/43

Refer to the following relationship between the tax payment and the taxable income of a certain tax.



Which of the following is correct?

- A. The above tax would lower the working incentives of workers.
- B. The above tax is in accordance with the equality principle put forth by Adam Smith.
- C. The tax allowance for the above tax is zero.
- D. Every employee has to pay the above tax.

2006/CE/II/39

Suppose the salaries tax of an economy changes from tax system A to tax system B.

Taxable income	System A	System B
	Marginal tax rate	Marginal tax rate
First \$20 000	3%	2%
Next \$20 000	6%	5%
Next \$20 000	10%	8%
Remainder	15%	12%

As a result,

- A. less people would fall into the tax net.
- B. the working incentive of workers would increase.
- C. the income gap would be reduced.
- D. the ratio of direct tax revenue to indirect tax revenue would increase.

2006/CE/II/42

Which of the following would widen the tax base of Hong Kong?

- A. a reduction in the tax allowance
- B. abolition of the first registration tax on motor vehicles
- C. an increase in the progressivity of salaries tax
- D. an increase in the profits tax rate

2007/CE/II/42

Taxable income (\$)	Tax Payment (\$)	
	Tax System A	Tax System B
100 000	6 000	5 000
200 000	12 000	12 000
300 000	18 000	21 000

Refer to the above data. When the tax system changes from A to B,

- A. the income gap between the rich and the poor will be reduced.
- B. the work incentive of workers will increase.
- C. the tax base of the economy will be widened.
- D. the government budget position will be improved.

2007/CE/II/43

In order to increase the competitiveness of Hong Kong, some businessmen propose to reduce the profits tax rate. When the profits tax rate decreases,

- A. the foreign exchange and good reserve of Hong Kong would increase.
- B. the investment incentive would increase.
- C. the government tax revenue would decrease.
- D. the size of the public sector would decrease.

2008/CE/II/41

When the government reduces the profits tax rate,

- A. the unemployment rate will increase.
- B. the investment incentive will increase.
- C. the government tax revenue will decrease.
- D. the income inequality will be reduced.

2008/CE/II/44

Suppose the salaries tax system of Hong Kong changes as follows:

Old System		New System	
Marginal Tax Band	Tax Rate (%)	Marginal Tax Band	Tax Rate (%)
First \$30 000 taxable income	2.0	First \$40 000 taxable income	2.0
Next \$30 000	7.0	Next \$40 000	7.0
Next \$30 000	13.0	Next \$40 000	13.0
Remainder	19.0	Remainder	19.0
Standard Rate	16.0	Standard Rate	16.0

Under the new system, with the salaries of all taxpayers unchanged

- A. fewer people will fall into the tax net.
- B. fewer people will have to pay at the standard rate.
- C. the income gap will not be affected.
- D. the government will run into a budget deficit.

2009/CE/II/42

An economy levies a 5% general sales tax on all goods and services. This tax is a/an

- A. proportional tax as everyone will pay 5% of their expenditure on goods and services as tax.
- B. progressive tax as the tax payment increases with the price of the goods and services.
- C. regressive tax as the proportion of tax payment to income decreases when income increases.
- D. indirect tax as consumers indirectly bear all the tax burden.

2008/CE/II/44

In the financial year of 2008-09, the standard rate of salaries tax was reduced from 16% to 15%. Other things being equal, the above measure would

- A. reduce the number of people falling into the tax net.
- B. increase the progressivity of the salaries tax system of Hong Kong.
- C. increase the consumption expenditure of people in Hong Kong.
- D. increase the after tax income of low-income people in Hong Kong.

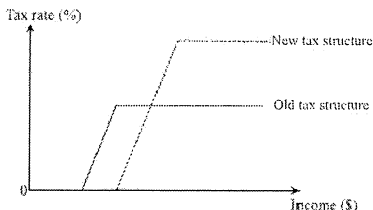
2010/CE/II/42

There was a one-off tax reduction up to a maximum of \$6 000 on the salaries tax and the tax under personal assessment for 2008-09. This would

- A. reduce the income gap between the rich and the poor.
- B. narrow the tax base of Hong Kong.
- C. increase the working incentive of those paying at the standard tax rate.
- D. increase the consumption expenditure of those entitled to the tax reduction.

2013/DSE/I/36

The following diagram shows the change in the salaries tax structure of an economy.

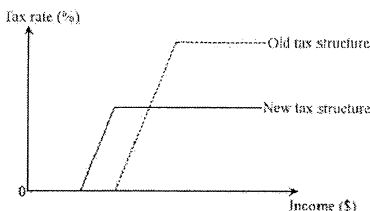


Compared to the old salaries tax structure, the new tax structure

- A. has a smaller personal allowance.
- B. has a lower standard tax rate.
- C. will narrow the income gap between the rich and the poor.
- D. will widen the tax base.

2016/DSE/I/36

The following diagram shows the changes in the salaries tax structure of an economy.



Compared to the old tax structure, the new tax structure will _____.

- A. result in a more even income distribution
- B. reduce the work incentive of all workers
- C. broaden the tax base
- D. lead to an increase in total tax revenue

2018/DSE/I/35

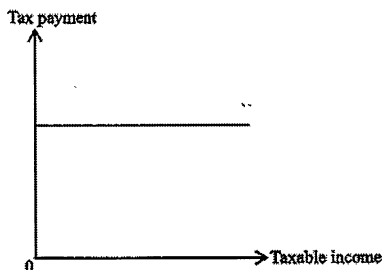
Suppose the salaries tax system in Hong Kong has the following changes:

Old System		New System	
Net chargeable income	Tax rate	Net chargeable income	Tax rate
First \$50 000	2%	First \$60 000	2%
Next \$50 000	7%	Next \$60 000	7%
Next \$50 000	12%	Next \$60 000	12%
Remainder	17%	Remainder	17%
Standard Rate	15%	Standard Rate	15%

If the basic tax allowance remains unchanged, which of the following is most likely to be a result of the above changes in the tax system?

- A. Fewer people will fall into the tax net.
- B. Fewer people will have to pay at the standard tax rate.
- C. People's work incentive will decrease.
- D. Consumption expenditure will decrease.

The following diagram shows the relationship between taxable income and tax payment in a tax system.



. Which of the following statements about the above tax system is correct?

- A. The lower income group pays a smaller percentage of their taxable income as tax payment.
- B. It violates the tax principle of equity put forward by Adam Smith.
- C. It is a proportional tax.
- D. It leads to a more even income distribution.

In 2019, the Japanese government increases the general sales tax rate on most of the goods and services from 8% to 10%. As a result,

- (1) income inequality will be higher.
- (2) the fiscal deficit will be eliminated.
- (3) the invisible trade deficit will decrease.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

In the case **WITHOUT** tax exemption, John needs to pay \$15 000 and Mary needs to pay \$35 000 as income tax.

Suppose the government proposes the following income tax exemption measures:

	Amount of tax exemption
Measure I	75% of income tax, maximum \$30 000
Measure II	100% of income tax, maximum \$20 000

John will prefer _____ while Mary will prefer _____.

- A. measure I.....measure I
- B. measure I.....measure II
- C. measure II.....measure I
- D. measure II.....measure II

2023/DSE/I/23

Study the following data about an economy.

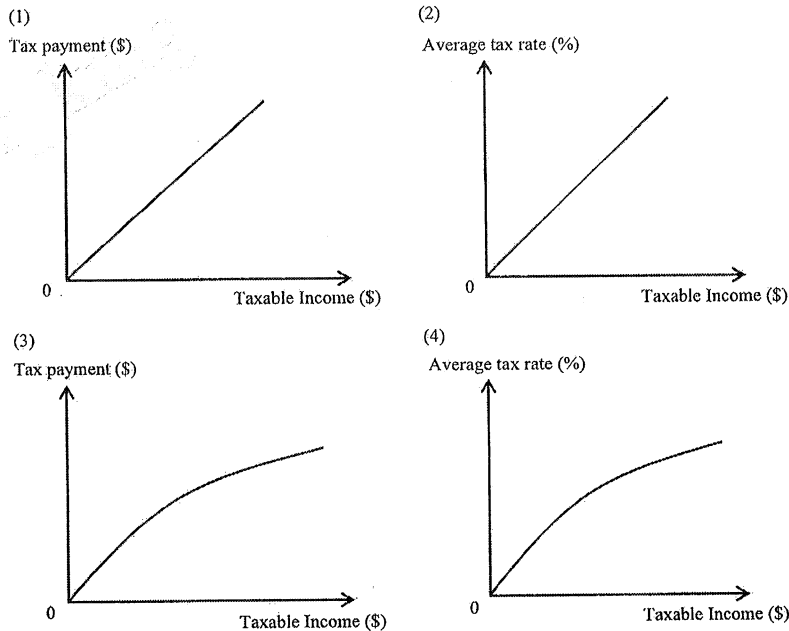
	2016	2021
Gini coefficient based on post-tax post-social transfer household income	0.398	0.407

Which of the following are possible explanations for the above change from 2016 to 2021?

- (1) The progressive tax system changed to a regressive one,
 - (2) The tax bands of the progressive salaries tax are widened,
 - (3) The transfer payments provided to the low-income households increased.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2023/DSE/I/36

Which of the following diagrams describe a progressive tax?



- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

Short & Structured Questions

1990/CE/I/5(b)(i)

Suppose the Hong Kong government adopts the following tax policies :

Policy A: introducing a 3% sales tax on all commodities

Policy B: cutting down the standard tax rate by 3%

Explain how **EACH** of the above policies affects the distribution of income between the rich and the poor.

(Assuming in Hong Kong, the poor spend a higher ratio of their income on consumption than the rich.)

(8 marks)

1992/CE/I/5(c)(i)

It has now been decided that a new airport will be built at Chek Lap Kok

Suggest **THREE** possible government measures, other than printing money, to obtain enough capital to construct the new airport. State **ONE** disadvantage to Hong Kong's economy of each of the methods you have mentioned.

(9 marks)

1993/CE/I/5

(b) If Mr. Chan rents the flat to a tenant, he will have to pay property tax to the Hong Kong government for the rental income.

(i) Explain whether property tax is progressive, regressive or proportional.

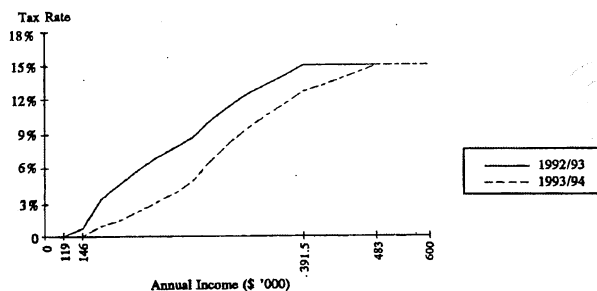
(3 marks)

(d) Some people suggest that a capital gains tax (資產增值稅) should be imposed on those flat-owners who gain money from the resale of housing units in Hong Kong. From the view point of the government, give **ONE** reason for and **ONE** reason against this suggestion.

(4 marks)

1994/CE/I/10(b)

The Hong Kong government revised the salaries tax structure for the fiscal year 1993/94. The following graph helps to illustrate some of these changes.



*The above graph shows the effective tax rate for a typical single income family of four.

Refer to the above graph.

(i) Explain whether the salaries tax is progressive, regressive or proportional over the income range.

(4 marks)

(ii) (I) Point out **TWO** major changes to the tax structure shown on the graph.

(4 marks)

(II) Which tax structure shown on the graph would give a more even distribution of income in Hong Kong, other things being equal? Explain.

(6 marks)

(iii) Give **ONE** reason to explain why it is possible that the salaries tax revenue collected from these families might increase after the changes in the tax structure.

(3 marks)

1995/CE/I/5

Define progressive tax and proportional tax. Name a local example of each.

(6 marks)

1996/CE/I/10(b)

Suppose Country A plans to impose tariffs on its imports. Explain whether this tax is progressive, proportional or regressive.

(4 marks)

1996/CE/I/12(d)

Suppose the government increases the progressivity of the salaries tax in order to provide unemployment benefits to the unemployed. Explain how this would affect Hong Kong's income distribution.

(3 marks)

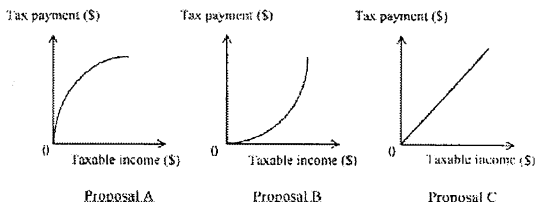
1997/CE/I/9(d)(ii)

Suppose a general sales tax is introduced to finance the construction of the new railway. Explain the effect of this tax on Hong Kong's income distribution.

(3 marks)

1998/CE/I/5

The following shows three different proposals for an income tax of an economy.



Explain the differences among the three proposals in terms of the relationship between the tax payments and the taxable incomes. Then point out which proposal would be the most effective in achieving a more even distribution of income.

(7 marks)

1998/CE/I/7(b)

Suppose the salaries tax allowance in Hong Kong remains unchanged. Explain why the total tax revenue from this tax would increase at times of inflation.

(3 marks)

1999/CE/I/8

Taxable income	\$10 000	\$20 000	\$30 000
Tax amount	\$1 000	\$1 900	\$2 700

Explain whether the tax described above is progressive. Show your working.

(5 marks)

2000/CE/I/8

In 1999, the government refunded 10% of the salaries tax and profits tax to taxpayers. Explain how this would affect the wealth gap between the low-income group and the high-income group.

(4 marks)

2000/CE/I/9(a)

Study the following information.

<u>Gasoline Bill</u>		
Quantity sold:	50L (liter)	
Price per liter:	3.780 \$/L	\$189
Government tax:	6.060 \$/L	\$303
Sales total:		\$492

- (i) Define regressive tax and explain whether the above gasoline tax is progressive, proportional or regressive. (5 marks)
- (ii) Give **TWO** economic reasons for the government to levy tax on gasoline. (4 marks)

2001/CE/I/7

Suppose the Hong Kong government introduces a general sales tax.

- (a) Explain whether a sales tax is a direct tax or an indirect tax. (2 marks)
- (b) Explain what would be the effect of the introduction of a general sales tax on Hong Kong's income distribution. (3 marks)

2001/CE/I/11(b)

Suppose the government significantly reduces the stamp duty on the sale of property. Explain how this would affect

- (i) investment
- (ii) employment opportunities
- in the construction industry. (4 marks)

2002/CE/I/12(c)

Mr Wong's bookstore has to pay profits tax and rates.

- (i) Explain which of the above two taxes is an indirect tax.
- (ii) Explain whether profits tax is progressive, proportional or regressive. (5 marks)

2003/CE/I/10(d)

The first registration tax on a newly imported car is a fixed percentage of the car's value. Explain whether the tax is proportional. (3 marks)

2004/CE/I/10(e)

In Hong Kong, the air passenger departure tax is \$120 per adult passenger. Explain whether the tax is a progressive tax, a proportional tax or a regressive tax. (3 marks)

2006/CE/I/11(b)(i)(II)

Explain whether general sales tax is a direct tax or an indirect tax. (2 marks)

2008/CE/I/8

In Hong Kong, red wine is subject to an excise tax of 40% of its value.

- (a) Explain whether this tax is progressive, regressive or proportional. (4 marks)
- (b) Explain whether this tax is a direct tax or an indirect tax. (2 marks)

2009/CE/1/11

In the fiscal year 2008-09, the government took some measures to reduce the tax burden on the public.

- (a) The corporate profits tax rate was reduced from 17.5% to 16.5%. Explain whether the government revenue from profits tax would necessarily decrease as a result of a reduction in the profits tax rate. (4 marks)
- (b) Rates (差餉) were waived for most properties. Explain whether this tax is a direct tax or an indirect tax. (2 marks)

2012/DSE/II/4

According to a report of the United Nations in 2008, the Gini coefficients of Hong Kong and Beijing were 0.53 and 0.22 respectively.

- (a) Was the income gap between the rich and the poor in Hong Kong wider or narrower than that in Beijing? (1 mark)
- (b) Explain how an increase in the standard tax rate of salaries tax will affect the post-tax Gini coefficient of Hong Kong. (3 marks)

2013/DSE/II/8

Suppose a government is facing a budget deficit. Some politicians have proposed that the government should raise the income tax rate to reduce the budget deficit. Evaluate their proposal. (4 marks)

2014/DSE/II/6(b)

Karen, a Hong Kong resident, works as a photographer in a media group in Shanghai.

Is salaries tax a direct or an indirect tax? Explain your answer. (2 marks)

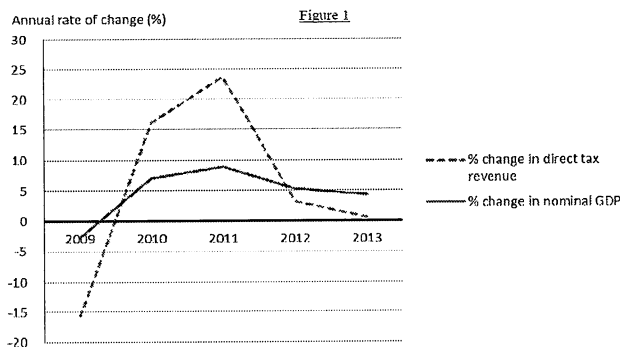
2014/DSE/II/7(a)

In an attempt to reduce its growing fiscal deficits, the US government has tried to increase tax on the one hand and decrease fiscal spending on the other. But many worry that such a policy would give rise to undesirable side effects.

Explain **TWO** possible undesirable effects of the above fiscal policy on the US economy as a whole. (4 marks)

2015/DSE/II/11(a)

Figure 1 shows the percentage changes in direct tax revenue and nominal GDP in Hong Kong for the years 2009-2013.



- (i) With reference to Figure 1, describe the relationship between the percentage change in direct tax revenue and the percentage change in nominal GDP for the years 2009-2013 and compare their trends. (2 marks)
- (ii) Briefly explain the relationship you described in (a)(i). (2 marks)

2017/DSE/II/13(b)

To finance the scheme, there are different proposals which include:

Proposal A: increase the standard tax rate and the progressivity of salaries tax

Proposal B: use the fiscal reserves in the government

Discuss the effects of these two proposals on economic variables which include

(ii) income distribution

(iii) **ONE** other economic variable.

(7 marks)

2018/DSE/II/6(a)

The government proposes the following changes in the profits tax system.

Profit	Existing system	New two-tier system
On the first \$2 000 000	16.5%	8.25%
Remainder		16.5%

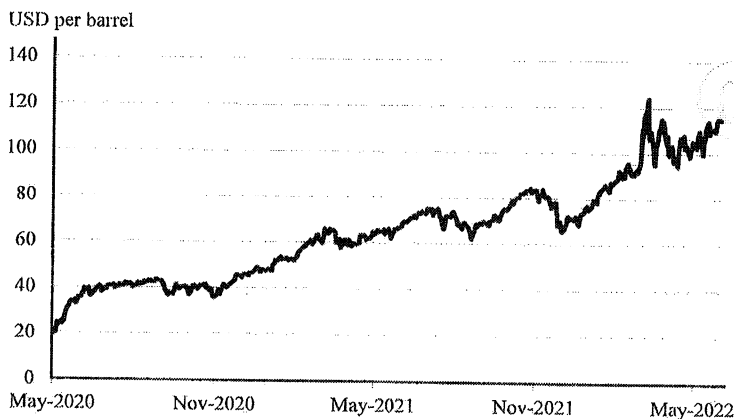
Would the above changes in tax system *necessarily* result in a drop in profits tax revenue? Explain.

(4 marks)

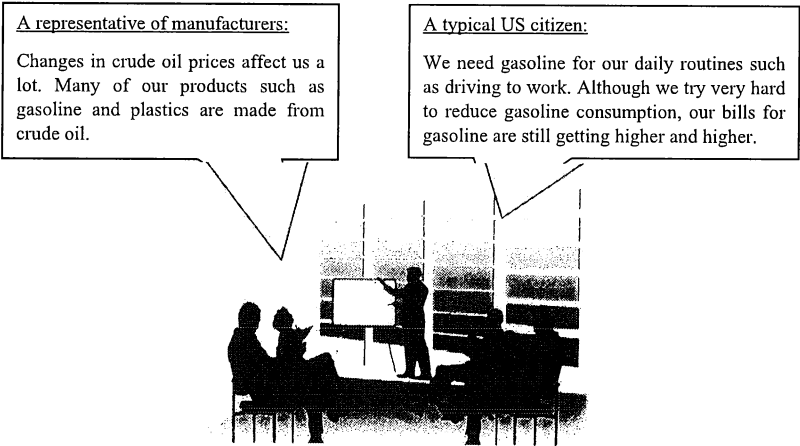
2023/DSE/II/12d

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



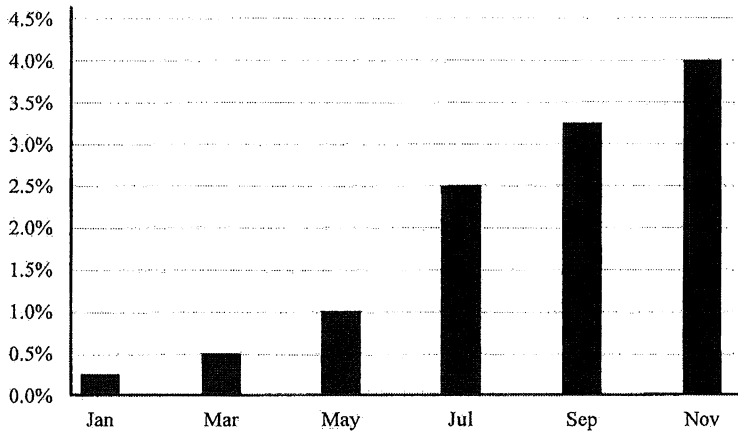
Source B: Some views about energy prices expressed by participants in a forum



Source C: Money supply in the US

	May 2020	May 2021
Money supply (USD Billion)	17766.9	20 319.6

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



*Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

A US producer 	We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.
An economist 	The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Apart from adjusting the discount rate, two other strategies have been suggested to address the problem of inflation in the US.

Strategy 1	Raising the salaries tax rate for the high-income group
Strategy 2	Cancelling the tariffs on Chinese imports

With reference to Sources A to E and your own knowledge in Economics, discuss the effects of **EACH** strategy on the US economy in terms of

- price level,
- equity, and
- trade balance,

(14marks)

2024/DSE/II/12(d)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

- (d) Neymar is a famous Brazilian footballer. He has been recruited by a football club in Saudi Arabia recently. Suppose he is required to pay an income tax of 20% on his taxable income to the Government of Saudi Arabia. Explain whether the income tax paid by Neymar is

- (i) a direct tax or an indirect tax.

(2 marks)

- (ii) progressive, proportional or regressive.

(2 marks)

2025/DSE/II/9(Cross Topic)

In the 2024-25 Budget, the Financial Secretary proposed to adjust the rate of the hotel accommodation tax (HAT) from 0% to 3% with effect from 1 January 2025. Hotels and guesthouses would be required to pay the HAT at the rate of 3% on accommodation charges.

- (a) Explain whether the proposed HAT is a progressive tax, a proportional tax or a regressive tax. (3 marks)
- (b) An economist comments, 'Both the indirect tax revenue and the direct tax revenue of the Government may be affected by the above proposed HAT.' Justify the economist's comment. (4 marks)

There are receptionists, bell boys, room attendants and managers working in hotels.

- (c) What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)
- (d) The following is a job advertisement for room attendants in a hotel.

Room attendants
Major duty: tidying up hotel rooms
Working hours: 10am – 2pm
Salary: \$85 per hour

From the viewpoint of the hotel owners, give **ONE** advantage and **ONE** disadvantage of the above wage payment method over piece rate. (2 marks)

- (e) Many hotels in Hong Kong charge a higher room rate during public holidays than on other days. Explain whether the opportunity cost of staying in those hotels in Hong Kong is *necessarily* higher during public holidays than on other days. (3 marks)